Table M1: Client Selection, Audit Warnings, and Big 4 Client Risk

Panel D: Descriptive Classification Rates

	MAO		GC	
	Big 4	Non-Big-4	Big 4	Non-Big-4
Current failure				
No event among warned (%)	87.85	78.33	93.18	78.03
Failure among unwarned (%)	2.10	6.06	2.28	6.69
Type I error rate (%)	2.01	5.74	0.88	2.35
Type II error rate (%)	88.29	79.28	97.30	91.38
Warned observations	107	4,545	44	1,866
Unwarned observations	4,675	62,257	4,738	64,936
No-event observations	4,671	62,047	4,671	62,047
Failure observations	111	4,755	111	4,755
Next-year violation announcement				
No event among warned (%)	97.09	91.04	100.00	90.78
Failure among unwarned (%)	0.56	1.69	0.62	1.99
Type I error rate (%)	2.29	6.24	0.98	2.44
Type II error rate (%)	88.89	72.40	100.00	88.86
Warned observations	103	4,120	43	1,616
Unwarned observations	4,293	57,339	4,353	59,843
No-event observations	4,369	60,122	4,369	60,122
Failure observations	27	1,337	27	1,337

Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.